

whereas his portfolio, in its current shape, having grown at 4 per cent per annum for the last twenty-seven years, was only likely to grow at 6 to 8 per cent per annum. Therefore, to meet the goals shown in the preceding table, Mr Talwar would need to dig deep into his meagre retirement corpus, which in turn would severely compromise the quality of life he and his wife would be able to lead after retirement.

On the first iteration, the software showed that his portfolio had to return 21 per cent per annum on a post-tax basis from now if he had to meet all his financial goals. This sort of return was absolutely out of reach for Mr Talwar. Nikhil then went over the exercise again after bringing down the frequency of vacations, changing cars and excluding the goal of buying a holiday home. The required return came down to 16 per cent per annum. Given that there was only so much he could expect from his salary and bonuses over the years, his future depended on how well he invested his savings hereon.

He had seen a time when he had earned returns as high as 80 per cent on his investments, but in the end those returns had averaged out to a disappointing 4 per cent. He was at his wit's end; he didn't believe there was anything that could deliver a post-tax return of 16 per cent per annum over the next ten years.

The solution for Mr Talwar: Use the power of equity

Nikhil told Mr Talwar that it was a mistake to not invest in equity. Mr Talwar had burnt his fingers with stocks and now considered it as risky as betting. After all, he had never made money in equity investing. Nikhil told him that this was because he was making the classic mistakes. One, he was trading heavily. They calculated that, over the years, Mr Talwar's average holding period was four months and up to 80 per cent of his stock investments had never lasted more than a year. Mr Talwar's high turnover was a broker's delight. In fact, he was paying up to 7 per cent of his portfolio value each year as brokerage. There was no way, Nikhil told him, that he could have generated any returns with such investment practices.